

Clarkson PLC (LSE: CKN)

H2 2026E Scenario Model — Appendix

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Version note (27 Sep 2026, model v5.3). The main changes since v4 are: (1) the FX sensitivity now comes from the 2025 Annual Report instead of 2024; (2) H2 ESOP buybacks use the H2 2025 actual (£1.8m) instead of the H1 2026 level (£24.0m); (3) H2 cash conversion is based on H2 2025, and each scenario's change in receivables now affects cash; (4) Link's holding period is 105 days, not 104; (5) the H2 credit loss charge above the H1 2026 level (£7.7m) is now taken off operating profit (Bull -£1.8m, Bear -£3.8m). (6) the Base Layer 2 weight is now explained by comparing the September escalation with the H1 Hormuz closure, and a sensitivity table shows results for weights 0 to 1.0 (Section 3). Changes (1), (4) and (5) move operating profit; (2) and (3) only move net cash and ROIC; (6) changes no figures. (7) A bridge showing where the Bull - Base operating profit gap comes from (Section 3) and a note on Broking's asymmetric flow-through (Section 6) are added; (7) changes no figures. Every change and the reason for it is in the Correction & Review Log (#29-#48). All figures below come from the v5.3 workbook. The model will be updated when H2 2026 actuals are released, and an H1 2027 extension is planned.

This appendix explains the method, assumptions and sources behind the H2 2026E scenario model. Figures are £m unless stated. Sources are marked (Filing), calculations (Calc.) and my own assumptions (Est.).

1. Basis of preparation

Operating profit is shown before acquisition-related costs, which is how Clarksons reports its segments. In H1 2026 this was £56.8m, against £51.0m statutory. The £5.8m difference is amortisation of acquired intangibles (£1.4m), transaction costs (£0.9m) and charges linked to acquisitions (£3.5m); there is also £0.1m of related interest in finance costs (Interim 2026 Note 4 p.25, p.19). These costs will continue. The Link escrow (£12.6m) and share awards (Link £4.1m, Zuma £1.9m) are expensed over four years, about £2.3m per half, and amortisation of the £38.1m of new intangibles comes on top. I have not forecast them, so statutory H2 profit will be lower than the figures shown.

2. The two-layer structure

The forecast has two layers. The Board's outlook is dated 31 July 2026 and the Middle East escalation started about six weeks later, so I treat them separately. Both layers are formulas in the Base and Bull sheets (rows 74–87).

Layer 1 — consistent with Board guidance (31 July 2026)

In the interim results (31 July 2026) the Board said that "the usual second-half weighting is unlikely this year" (Interim 2026 p.6, also p.1). Note 2.4 says the group is not significantly seasonal. So I do not treat the H1 2025 to H2 2025 increase in Broking revenue (+14.2%) as seasonal; it was mostly a recovery from a weak H1 2025. Layer 1 therefore keeps Broking organic revenue flat in H2. The only adjustment is Link, which was owned for 105 days of H1 (18 March to 30 June). A full half of Link adds 2.09pp to Broking's H2 growth. Financial's Base 0% is a separate assumption (Section 4) and is not based on this Board comment.

Layer 2 — the Yemen–Saudi escalation, from 9 September 2026

The escalation started on 9 September 2026 (attacks on Saudi terminals and new risk to the Strait of Hormuz), after the Board's statement. I add it as a second layer for Broking only, since Broking is the segment most exposed to tanker and dry bulk rates. It covers 114 of the 184 days in H2 (62%). The start date is from news reports, not the filings. The H1 shock was the closure of the Strait of Hormuz, which the company calls "a pronounced shock across global shipping markets" (Interim 2026 p.4). The September escalation is narrower: it hits Saudi-linked shipping and Red Sea routes rather than

closing the whole Gulf. So in the Base case I size it at about half of the H1 shock (weight 0.5). The Bull case (weight 1.0) assumes it becomes as large as the H1 closure, which I treat as the upper bound.

Sizing the Layer 2 overlay (live formulas, Base/Bull Case rows 76-87)

Item	Calculation	Note
Link H1 2026 holding period	18 Mar – 30 Jun 2026 inclusive = 105 days	Filing: Interim 2026, Note 8 p.28 (revenue "for the period from 18 March")
H1 2025 Broking revenue (anchor)	222.2	Filing: Interim 2026 p.7 and Note 3 p.25; 2025 Prelim Results p.25. An earlier version used 253.8, which is the H2 2025 figure.
H1 organic Broking growth (ex-Link, YoY)	$(310.3 - 8.6) / 222.2 - 1 = +35.78\%$	Calc. (was +18.87% with the wrong 253.8 base)
Link annualisation	$8.6/105 \times 184 = 15.07$; $(15.07 - 8.6)/310.3 = +2.09\text{pp}$	Calc. Was 104 days (+2.13pp) before v5; 105 counts both ends, like 184 and 114.
Share of H2 affected	$114 \text{ days} \div 184 \text{ days} = 62.0\%$	9 Sep – 31 Dec 2026
Bull overlay	$35.78\% \times 62.0\% = +22.18\%$	Est. Upper bound: the escalation becomes as large as the H1 Hormuz closure. The H1 growth rate also includes other factors, such as record S&P activity.
Base overlay	$22.18\% \times 0.5 \text{ (input cell B86)} = +11.09\%$	Est. Half of the H1 shock: the September escalation hits Saudi-linked shipping and Red Sea routes, a narrower event than the H1 closure of the Strait of Hormuz.
Cross-check (ClarkSea index)	$+46\% \text{ mid-Sep vs H1 avg} \times 0.65 \text{ elasticity} \times 62\% \approx +18.5\%$	Falls between the Base and Bull overlays (11.1% / 22.2%), so the range looks reasonable.

The Bear case does not use the two layers. It follows the Board's downside path (the Strait reopens, trapped vessels are released and rates normalise), so Broking revenue falls 8% with no overlay.

3. Scenario results

H2 2026E, before acquisition-related costs, £m (from the v5.3 workbook):

Scenario	H2 op. profit	H2 revenue	H2 margin	FY op. profit	ROIC (FY, 3-pt avg)
H1 2026A (anchor)	56.8	413.5	13.7%	—	—
Base	70.11	458.62	15.29%	126.91	28.13%
Bull	82.66	499.71	16.54%	139.46	30.72%
Bear	37.43	388.49	9.63%	94.23	20.97%

How these figures changed: correcting the H1 2025 Broking revenue input (C76) raised Base and Bull H2 operating profit from 62.09 / 67.78 to 66.38 / 76.45. Holding head office costs flat moved the three scenarios to 68.69 / 80.83 / 41.80. In v5 the 2025 FX sensitivity added +1.46 / +3.67 / -0.58, and the 105-day Link period took 0.04 off Base and Bull. In v5.2 the credit loss charge above the H1 level took 1.80 off Bull and 3.80 off Bear. The ESOP, cash conversion and working capital changes only affect net cash and ROIC (Section 7).

Sensitivity of the Base case to the Layer 2 weight (model rows 118–137; everything else held at Base):

Layer 2 weight	H2 op. profit	vs H1 2026A	FY op. profit	FY margin	ROIC (FY)
0 (no escalation)	60.85	+7.1%	117.65	14.04%	26.15%
0.25	65.48	+15.3%	122.28	14.30%	27.14%
0.5 (Base)	70.11	+23.4%	126.91	14.55%	28.13%
0.75	74.74	+31.6%	131.54	14.79%	29.12%
1.0 (Bull size)	79.37	+39.7%	136.17	15.02%	30.11%

About £9.3m of Base H2 operating profit (13%) comes from the escalation layer. Each 0.25 step in the weight moves H2 operating profit by about £4.6m and ROIC by about 1pp.

Bull – Base H2 operating profit bridge, £m (from Summary rows 64–74; the lines add up to D71 in each scenario):

Driver	Base	Bull	Δ Bull – Base	Share of gap
Broking	75.47	84.44	+8.98	71.5%
Financial	11.70	13.39	+1.69	13.5%
Support	2.45	2.60	+0.15	1.2%
Research	6.93	7.21	+0.27	2.2%
Head office	–28.60	–28.60	0.00	0.0%
Extra credit loss	0.00	–1.80	–1.80	–14.3%
FX (on the total above)	2.16	5.42	+3.26	26.0%
H2 operating profit	70.11	82.66	+12.55	100.0%

About 72% of the £12.6m gap comes from Broking, which is mostly the Layer 2 weight (0.5 vs 1.0). FX adds about £3.3m because the Bull case has a weaker pound, and the extra credit loss takes back £1.8m. So the gap between Base and Bull is mainly one judgment: how large the September escalation becomes.

4. Segment assumptions

H2 growth and flow-through margin versus H1 2026A, by segment and scenario:

Segment	Scenario	Revenue growth	Flow-through	Basis
Broking	Base	+13.2%	26.1%	Layer 1 (0% organic + 2.09pp Link) + 11.09pp escalation
Broking	Bull	+24.3%	26.1%	Layer 1 + full 22.18pp escalation
Broking	Bear	–8.0%	53.8%	Contraction flow-through, Filing: AR2025 Note 4 (FY24→FY25)
Financial	Base	0.0%	37.5%	0% so that the record H1 (+66% YoY) is not extrapolated; not based on Board guidance
Financial	Bull	+8.0%	44.0%	Anchored to actual FY2025 H2/H1 change (£28.9m→£31.2m)
Financial	Bear	–3.0%	93.3%	Filing: AR2024, actual FY23→FY24 decline
Support	Base/Bull/Bear	+8 / +14 / +2%	–4.7 / 0 / –20%	Flow-through negative in both observed periods; margin 8.6% (H1 25) → 5.5% (H2 25) → 6.5% (H1 26)
Research	Base/Bull/Bear	+7 / +10 / +3%	60 / 60 / 40.7%	High operating leverage maintained
Head Office	Base/Bull/Bear	0% (flat, all)	n/a	Held at the H1 2026 actual (£28.6m); no reason for the H1 increase or for H2 is disclosed (see Section 8)

Open point: Clarksons does not say which segment reports Link's revenue. I assume it is all Broking. If part of it (Link Data Services) is in Research, the effect on Broking growth roughly cancels out, but Research's growth assumption would be a little too high.

Head office cost breakdown: Clarksons does not disclose what the £28.6m is made of (staff, overheads, other). The 'unallocated assets and liabilities' note covers cash, pensions and tax on the balance sheet, not P&L costs, so it does not help here.

5. FX overlay

Item	Value	Source
Company sensitivity	+5% USD → +£5.6m PBT; –5% → –£5.1m (hedged)	Filing: AR2025 Note 27, p.93 (the model used AR2024 before v5)
Implied rate	1.24% (USD stronger) / 1.13% (USD weaker) profit change per 1% USD move, on FY2025 underlying PBT £90.6m	Calc. (AR2024 gave about 0.4%)
H1 2026A average	GBP/USD 1.3446	Filing: Interim 2026 presentation,

		p.5
H2E path — Base / Bull / Bear	1.310 / 1.270 / 1.370	Est.

Formula: FX effect = (1.3446 – rate) / 1.3446 × sensitivity × H2 operating profit before FX. Sensitivity is 1.24% per 1% if the USD strengthens and 1.13% if it weakens (model rows 90–94). This gives +3.18% (Base), +6.86% (Bull) and –2.13% (Bear). It is an approximation: the company's figure is a translation effect on PBT, and I apply it as a percentage of H2 profit.

6. Flow-through margins — underlying data

Flow-through margin = change in operating profit ÷ change in revenue, calculated separately for growth and decline periods (AR2024, AR2025, Interim 2026).

Broking's flow-through is asymmetric: 26.1% on growth (H1 25→H1 26 expansion) but 53.8% on decline (FY24→FY25 contraction). Each £1 of lost Broking revenue has cost about 54p of operating profit, while £1 of extra revenue added about 26p, so for the same revenue move the downside is about twice the upside. This is why the Bear case falls further below Base than the Bull case rises above it.

Segment	Period	ΔRevenue	ΔOp. profit	Flow-through
Broking	FY24→FY25 (contraction)	–53.3	–28.7	53.8%
Broking	H1 25→H1 26 (expansion)	+88.1	+23.0	26.1%
Financial	H1 25→H1 26 (expansion)	+19.2	+7.2	37.5%
Financial	FY24→FY25 (expansion)	+17.5	+7.7	44.0%
Financial	FY23→FY24 (contraction)	–1.5	–1.4	93.3%
Support	H1 25→H1 26 (expansion)	+6.4	–0.3	–4.7%
Support	FY24→FY25 (revenue up, profit down)	+3.1	–2.9	–93.5% (capped at –20% for Bear)
Research	H1 25→H1 26 (expansion)	+2.0	+1.2	60.0%
Research	FY24→FY25 (expansion)	+2.7	+1.1	40.7%

7. Invested capital and ROIC

Invested capital is averaged over three points (Dec 2025, Jun 2026, Dec 2026E). Compared with v4, four changes affect this section: H2 ESOP buybacks fall from £24.0m to £1.8m (no effect on invested capital, since this reduces both net assets and net cash); cash conversion is based on H2 2025 (about 1.25x before working capital); each scenario's change in receivables now affects cash (Base –£10.1m, Bull –£19.2m, Bear +£5.6m); and the extra credit loss charge lowers Bull and Bear profit. Lower net cash means higher invested capital. ROIC moves from 29.10% to 28.13% (Base), 31.19% to 30.72% (Bull) and 22.54% to 20.97% (Bear).

Invested capital rose from £267.7m at 31 December 2025 to £371.0m at 30 June 2026 because of the Link, Zuma and Serpac acquisitions, and stays around that level at 31 December 2026E (370.7 / 379.3 / 365.2). A simple average of the opening and closing figures would miss the June step-up, so I use the three-point average.

Item	Base / Bull / Bear (£m or %)	Source
Dec 2025 (FY25 close)	267.7 / 267.7 / 267.7	Filing: net assets 527.8 – net cash & available funds 260.1 (Interim 2026 p.20, p.30)
Jun 2026A (post-acquisition peak)	371.0 / 371.0 / 371.0	Filing: net assets 549.8 – net cash & available funds 178.8 (Interim 2026 p.20, p.30)
Dec 2026E (closing)	370.74 / 379.27 / 365.15	Calc. (model roll-forward, Base / Bull / Bear)
3-point average	345.11 / 347.24 / 343.71	Calc.: (267.7 + 2×Jun26A + Dec26E) ÷ 4
FY2026E NOPAT	97.09 / 106.69 / 72.08	Calc.: FY op. profit × (1 – 23.5%)
ROIC (3-point average)	28.13% / 30.72% / 20.97%	Calc.: NOPAT ÷ 3-point average IC

Note: both anchors are calculated the same way, as total equity (including £3.4m of non-controlling interests at 30 June 2026, Interim 2026 p.21) minus net cash and available funds. An earlier version called the £178.8m 'NCI' and said the two anchors were on different bases; both points were wrong (Correction Log #10, #35).

8. Open items

These points are not resolved:

- Link's segment split is not disclosed; the model assumes it is entirely within Broking.
- Timing of credit losses: the allowance roll-forward cannot show when write-offs happen. A $\pm$ £1.5m sensitivity is noted for the Bear case.
- Bear Financial -3%: this is based on the one actual decline (FY23→FY24, a general slowdown). A Bear case driven by the Middle East could be worse if signed deals are cancelled. I have not changed the number because there is no data to size it (Correction Log #28).
- Cash conversion: H2 operating cash flow = H2 operating profit $\times$ about 1.25x – the scenario's change in receivables (excluding T+2 settlement balances, which are matched by payables). The 1.25x comes from H2 2025, the only second half reported on the same basis: net cash and available funds rose £33.0m and a further £22.1m went on capex, dividends, ESOP and leases, so £55.1m came from £45.3m of operating profit (1.22x); adding back H2 2025's own £1.4m increase in receivables gives 1.25x (model rows 96–116). The same calculation for H1 2026 gives about 0.55x, so one half-year is a thin basis. Payables, the bonus accrual and tax timing are not modelled by scenario.
- M&A spending in H2 (£10m in Base) is my own assumption. H1 2026 was £54.9m across three deals. ESOP (£1.8m, H2 2025 actual) and lease payments (£5.3m, H1 2026 actual) are based on reported figures.
- Head office costs: they rose 32.4% YoY in H1 2026 and the filings do not say why. I checked two possible reasons (acquisition integration and National Insurance on share awards) and neither applies to this line. With no basis for any direction, H2 is held at the H1 level (£28.6m) in all scenarios.
- Layer 1 and Layer 2 may overlap. Layer 1 keeps H1's high Broking revenue (which came from the Hormuz closure) in H2, and Layer 2 adds a second increase sized from the H1 growth rate. The company expected "a progressive reopening of the Strait in the second half" (Interim 2026 p.4), so part of the H1 effect may fade while the new escalation adds to it. I have not found data that separates the two, so the weight is a judgment and the range is shown in Section 3.
- Corrections made in earlier versions are listed in the Correction & Review Log.

Independent student analysis based on public Clarkson PLC filings. Not affiliated with or endorsed by Clarkson PLC. I built the model with AI assistance and checked each assumption against the filings. The full list of corrections is in the Correction & Review Log.